

protocol updates such as parameter tuning, addition of new asset support, and functionality upgrades (similar to MKR for MakerDAO). On June 15, 2020, the seventh governance proposal passed, which provided for distributing COMP tokens to users of the platform based on the borrow volume per market.⁸ The proposal offered an experience akin to a tech company giving its own stock to its users. The COMP token is distributed to both suppliers and borrowers and acts as a subsidization of rates. With the release of the token on public markets, COMP's market cap spiked to over \$2 billion. The price point of the distribution rate is so high that borrowing in most markets turned out to be profitable. This arbitrage opportunity attracted considerable volume to the platform, and the community governance has made and passed several proposals to help manage the usage.

The Compound protocol can no longer be turned off and will remain on Ethereum as long as Ethereum exists. Other platforms can easily escrow funds in Compound to provide additional value to their users or enable novel business models. An interesting example of this is Pool-Together,⁹ a no-loss lottery¹⁰ that deposits all user's funds into Compound but pays the entire pool's earned interest to a single random depositor at fixed intervals. Easy, instant access to yield or borrow liquidity on different Ethereum tokens makes Compound an important platform in DeFi (Table 6.2).